

DISSENTING OPINION OF
M. ADATCI, Mr. KELLOGG, BARON ROLIN-JAEQUEMYS,
SIR CECIL HURST, M. SCHÜCKING,
JONKHEER VAN EYSINGA AND M. WANG.

The question which is put to the Court by the Council asks whether the régime to be established under the Vienna Protocol would be compatible with Article 88 of the Treaty of Saint-Germain as well as with the Geneva Protocol No. I of 1922.

On the first point, the Opinion of the Court contains, in its statement of reasons, the following passage :

“It may even be maintained, if regard be had to the terms of Article 88 of the Treaty of Peace, that since Austria’s independence is not strictly speaking endangered, within the meaning of that article, there would not be, from the point of view of law, any inconsistency with that article.”

On the second point, the Opinion of the Court states, in its operative part, that a régime established between Germany and Austria on the basis and within the limits of the principles laid down by the Protocol of March 19th, 1931, would not be compatible with Protocol No. I signed at Geneva on October 4th, 1922.

The undersigned are unable to concur in this conclusion. In their opinion and for reasons which will appear hereafter, the régime which it is proposed to establish under the Vienna Protocol is compatible both with Article 88 and with the Geneva Protocol No. I of 1922.

The views at which the undersigned have arrived as to the purpose and meaning of the various instruments referred

to, viz. Article 88 of the Treaty of Saint-Germain, the Geneva Protocol No. I of 1922 and the Vienna Protocol of 1931, are not profoundly different from that which the other members of the Court have reached. The undersigned agree with the opinion that the régime to be set up under the Vienna Protocol would not involve Austria in the loss of her independence, i.e. it would not constitute an alienation of it. They share, speaking broadly, the view in the Opinion of the Court as to the nature and extent of the obligation accepted by Austria to abstain from acts which might compromise or threaten her independence. Nor is there anything in the outline which that Opinion gives of the régime to be set up under the Vienna Protocol which the undersigned desire to contradict. What they do not find in the Opinion of the Court is any explanation as to how and why that régime would threaten or imperil Austria's independence.

The undersigned regard it as necessary first of all to indicate what they believe to be the task assigned to the Court in this case. The Court is not concerned with political considerations nor with political consequences. These lie outside its competence.

The Council has asked for the opinion of the Court on a legal question. This question is in effect whether the proposals embodied in the Vienna Protocol are or are not compatible with the obligations assumed by Austria in the two other international instruments referred to in the question. That question is purely legal in the sense that it is concerned with the interpretation of treaties.

The position was accurately summed up in the words of M. Briand at the meeting of the Council of the League on May 19th, 1931, when he said:

"In reality, nothing is simpler than the situation now before us. By means of Mr. Henderson's proposal, to which we have all agreed, we have defined our attitude on a point of law which formed, so to speak, the preliminary question. The point at issue was as follows. Some of us said: 'You

cannot conclude this Protocol because your international obligations prohibit you from doing so'; to which others replied: 'No: we have established this Protocol in the exercise of our sovereign national rights, without in any way disregarding our treaty obligations.' Which of the two arguments is right?

"Such was the problem before us, and naturally our thoughts turned towards that institution which gives the Council legal advice in difficult cases. The Permanent Court of International Justice, having before it the texts, will tell us what is the law."

The decision of the Court must necessarily be based upon the material submitted for its consideration. Unless the material submitted to and passed upon by the Court justifies the conclusions reached, these conclusions cannot amount to more than mere speculations.

In order to appreciate the true meaning of the principle enunciated in Article 88 of the Treaty of Saint-Germain, it is necessary to set out at somewhat greater length than is done in the Opinion of the Court the circumstances which prevailed at the time when this article of the Treaty was formulated. It is only by so doing that the language of this provision can be understood.

Article 80 of the Treaty of Versailles had already proclaimed the principle that the independence of Austria was inalienable save with the consent of the Council of the League. The incident in connection with Article 61, paragraph 2, of the Constitution of Weimar, the subsequent interchange of notes between the Allied Powers and the German delegation at Paris, the terms of the Allied letter to the Austrian delegation at Paris, dated September 2nd, 1919, and the draft article (now Article 88) which the Allies then insisted on inserting in the Treaty of Saint-Germain, show the purpose which the Allied Powers had in view in framing that provision. It was to ensure the continued existence of Austria as a separate State.

This purpose was achieved by securing the assent of all Parties to the Treaty, including that of Austria herself, to the principle that the independence of Austria must not be alienated or compromised save with the consent of the Council.

"Independence" is a term well understood by all writers on international law, though the definitions which they employ are diversified. A State would not be independent in the legal sense if it was placed in a condition of dependence on another Power, if it ceased itself to exercise within its own territory the *summa potestas* or sovereignty, i.e. if it lost the right to exercise its own judgment in coming to the decisions which the government of its territory entails.

Restrictions on its liberty of action which a State may agree to do not affect its independence, provided that the State does not thereby deprive itself of its organic powers. Still less do the restrictions imposed by international law deprive it of its independence.

The difference between the alienation of a nation's independence and a restriction which a State may agree to on the exercise of its sovereign power, i.e. of its independence, is clear. This latter is, for instance, the position of States which become Members of the League of Nations. It is certain that membership imposes upon them important restrictions on the exercise of their independence, without its being possible to allege that it entails an alienation of that independence.

Practically, every treaty entered into between independent States restricts to some extent the exercise of the power incidental to sovereignty. Complete and absolute sovereignty unrestricted by any obligations imposed by treaties is impossible and practically unknown.

The "alienation" of the independence of a State implies that the right to exercise these sovereign powers would pass to another State or group of States.

The word "compromise" in the second sentence of Article 88 implies "involve danger to", "endanger" or "imperil". For an act to "compromise" the independence of Austria it must be one which would imperil the continued existence

of Austria as a State capable of exercising within its territory all the powers of an independent State within the meaning of independence given above.

In considering now the interpretation of the Geneva Protocol No. I of October 4th, 1922, it is necessary to bear in mind the precarious position of Austria as disclosed by the papers laid before the Court, at the time the Protocol was concluded. There was grave risk that Austria would collapse from internal weakness, particularly in the financial and economic sphere. If Austria collapsed, the affairs of Europe would again be in confusion. It was evidently the intention and the desire of the Powers who were willing to come to Austria's help to keep her in being as a State. They had to guard against two risks: against some measure to which Austria might be driven in her weakness which would be inconsistent with her existence as a State, and against some measure on the part of another Power to secure advantages for herself incompatible with Austria's independent position.

Protocol No. I of 1922 achieved both these objects. The Powers pledged themselves to respect Austria's independence and to seek no special or exclusive advantages which might imperil that independence. Austria renews the pledges which she had already given in 1919, the language in which she does so being slightly modified in order to render them more appropriate to the predominantly financial and economic character of the arrangement which was being concluded.

Austria's undertaking is embodied in two paragraphs. The first is in substance no more than a repetition of what she had accepted in the Treaty of Saint-Germain. The second is to make it clear that within the limits of the liberty left to her by that treaty, she had not lost the right to make arrangements for the benefit of her commerce.

The explanation of the inclusion of this latter provision is to be found in the circumstances of the moment. Trade was stagnating. Austria was faced with the need of a loan

on which interest would have to be paid. Unless her commerce could be stimulated, the burden of the interest of that loan would fall on the guaranteeing Powers. Consequently it was in the interest of all Parties that no doubt should exist as to Austria's right to make whatever arrangements would be beneficial to her commerce, but always subject to the overriding principle that nothing must be done that would imperil her future existence. The paragraph which affirms Austria's right to make commercial arrangements therefore concludes with the statement: "provided always that she shall not violate her economic independence by granting to any State a special régime or exclusive advantages calculated to threaten this independence".

This last sentence of the second paragraph does not in the opinion of the undersigned extend the obligation which Austria had already accepted in the Treaty of Saint-Germain.

The following considerations all point to that conclusion.

The plain meaning of the language employed does not suggest any such extension; nor does the structure of the paragraph. The paragraph is a saving clause or exception to the broad principle enunciated in the preceding paragraph. This exception concludes with the announcement of a limitation beyond which it is not to operate. If the limitation upon the exception was intended to do more than to revert to the original rule, one would expect to find that intention made clear by the language.

In view of what is said above as to the state of affairs in 1922 and as to the payment of the interest on a loan, any extension of the economic restrictions imposed upon Austria was, in view of the state of affairs in 1922, contrary to the general interest. Nor is there anything in the minutes of the meetings at Geneva at the time which suggests a desire to make any such extension.

The speeches made at the time of the conclusion of the Geneva Protocol state emphatically that no encroachment was being made on the sovereign power of Austria. That of the Reporter (Lord Balfour) is worth quoting.

"Now, what are the conditions which in our view are required for this scheme of reform? In the first place, we are of opinion that, since it is inevitable that there shall be some external influence acting in co-operation with the Austrian Government, it shall be made quite clear, first to the Austrian people and then to the world at large, that no interested motive presides over the action of any of the guaranteeing Powers, and that we are all mutually engaged one to the other, to the League of Nations and in fact to the world at large, that no interference with Austrian sovereignty, no interference with Austrian economic or financial independence, shall be regarded as tolerable or possible under the new system.

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"I think every Austrian citizen may rest assured that while undoubtedly there must be, under the guidance of the League and through the machinery which is going to be provided, a control exercised over the financial policy of Austria, which can only end in the benefit to his country, and that when, at the end of two years, Austria finds herself again a solvent nation, she will be so without having lost one shadow or tittle of any of that sovereignty or that supremacy over her own affairs which we all desire, and indeed are bound as Members of the League of Nations to preserve."

The fact that Protocol No. I was open to the adherence of other Powers which were not Parties to the Treaty of Saint-Germain, and that one such Power did in fact adhere, is no reason for holding that Austria's obligations as set out in the Protocol are something other than a reaffirmation of the obligations contained in Article 88.

All the economic and financial obligations which the Reconstruction scheme of 1922 rendered it necessary for Austria to accept temporarily were set out in Protocols Nos. II and III signed at the same time as Protocol No. I. No reason is apparent why an economic restriction which formed no essential part of the Reconstruction scheme (or it would have been inserted in Protocols Nos. II and III) should have been imposed upon Austria in a Protocol which contains no provision as to the period of its duration.

Lastly, no such extension of Austria's obligations was necessary. The maintenance of her existence as a separate

State was secured by Article 88, so far as it could be secured by treaty stipulations.

If the above analysis of the Geneva Protocol No. I of 1922 is well-founded, it follows that any act which is a violation of the obligations of Austria set out therein must also be a violation of Article 88. Neither of its two paragraphs contains anything which is not already inherent in that article. If the régime to be established under the Vienna Protocol is compatible with Article 88, it cannot in the opinion of the undersigned be incompatible with the Geneva Protocol No. I of 1922.

The Opinion of the Court concludes with the statement as regards the Protocol of 1922 that it is difficult to maintain that the régime to be set up under the Vienna Protocol is not calculated to threaten the economic independence of Austria and that it is, consequently, in accordance with the undertakings specifically given by Austria in the Protocol of 1922 with regard to her economic independence.

This is the paragraph which leads immediately to the final conclusion in the Opinion. The undersigned therefore infer from its language and particularly from the use of the words "economic independence" that it is the final sentence of the second paragraph of the Austrian undertaking in the Protocol with which the other members of the Court find that the régime under the Vienna Protocol is incompatible.

If so, it must mean that it would violate the economic independence of Austria because it would be the grant to Germany of a special régime or of exclusive advantages *calculated to threaten this independence.*

It is not enough that the arrangement should be the grant of a special régime or of exclusive advantages. The grant must be calculated to threaten Austria's independence.

If the proposed régime can be said to be one which is "calculated to threaten" the independence of Austria, it is not the establishment of the régime but the consequences resulting from its establishment which would make that régime incompatible with Austria's obligations.

What Austria has agreed not to do is something which is 'calculated to' threaten her independence. It is agreed

that this covers only responsibility for consequences which can reasonably be foreseen at the moment of the act. (Opinion of the Court, pp. 13-14.)

No material has been placed before the Court in the course of the present proceedings for the purpose of showing that States which have concluded customs unions have thereby endangered their future existence as States. In the absence of any evidence to that effect, it is not for the Court to assume that the conclusion of a customs union on a basis of complete equality between the two States is calculated to endanger or threaten the future existence of one of them. Still less can the Court assume that loss of independence is a result which either of the States might foresee as the consequence of its acts.

The conclusion reached by the Court is that it is the régime contemplated by the Vienna Protocol when taken as a whole which it might be difficult to regard as in accordance with Austria's undertakings. That is to say that, taken as a whole, it might constitute a menace to the independence of Austria irrespective of the effect of particular provisions in that instrument, and that, as these results might reasonably have been foreseen by Austria at the time of its conclusion, the régime is incompatible with Austria's engagements.

If this means that the conclusion of a customs union between two States, irrespective of the details of the arrangement, involves danger to the independence of the States concerned, it is an opinion which the undersigned are unable to accept.

Firstly, as said above, the Court has no evidence before it on which such a conclusion can be based. It is true that in the course of the case assertions have been made which are founded on the fact that a customs union existed between most of the German States during a large part of the nineteenth century, and that this customs union in its later and final phase was replaced in 1871 by the German Empire. No satisfactory conclusions, however, can be drawn from the history of the German *Zollverein*, because there is no possi-

bility of estimating how far the fusion in 1871 was due to the war of 1870 and how far to the *Zollverein*.

Secondly, the consequences of the conclusion of a customs union cannot be estimated without taking into account the specific provisions of the arrangement which it is proposed to set up. There is no fixed type of customs union. Each case must be judged on its own merits.

Furthermore, the undersigned are not prepared to admit that the Vienna Protocol taken as a whole can be regarded as incompatible with the treaty obligations of Austria if no provision in the Protocol taken by itself can be singled out as being incompatible with these obligations.

Their examination of the articles of the Protocol has not disclosed any provision of which the consequences, so far as can reasonably be foreseen, will threaten the independence of Austria, nor is it alleged in the Opinion of the Court that there is any such provision.

The undersigned accept the statement (Opinion, p. 18) that the régime which it is proposed to set up under the Vienna Protocol fulfils the requirements of a customs union, but in their opinion it is a union which is organized on the basis of a customs association, and not on that of a customs fusion; that is to say, each of the States concerned preserves the right to enact its own legislation on customs matters and to enforce that legislation in its own territory by its own customs service. There is no fusion of the two customs territories, no fusion of the customs services, no constitution of a common fund.

What is provided for is an *assimilation* of the tariff and economic policies of the two countries (Preamble), i.e. each of the two countries will have its own policy, but the two will coincide.

The two countries are to *agree* on a customs law and a customs tariff to be put into force in the two customs areas, and no changes are to be made in that law or tariff except by agreement (Art. II). The effect of this is that when the text of the law or of the amendments has been agreed, they

will be enacted in Austria by Austrian legislation, and in Germany by German legislation.

There are to be no import or export duties on goods exchanged between the two countries, except as may be agreed in the proposed treaty (Art. III).

In Austria, the customs duties are to be levied by the Austrian customs authorities, just as in Germany they will be levied by the German authorities. After deducting the expenses the proceeds are to be divided between the two countries in an agreed proportion (Art. VI).

It is not easy to see how any of these early articles in the Vienna Protocol can be described as being calculated to threaten the independence of Austria, seeing that none of them could be carried out unless Austria continued to exist as a separate State with her own territory, her own legislature, her own legislation on customs matters, and her own customs authorities enforcing her customs law and her customs tariff. The Government of the one State is in no way subordinated to the Government of the other.

Articles IX and X relate to commercial treaties. Under Article IX, each Government retains in principle the right to conclude with third States commercial treaties on its own behalf (Art. IX, No. 1). Such treaties can, however, be negotiated jointly, if thought well, but if negotiated jointly, they are to be concluded in the form of separate treaties coming into force simultaneously (Art. IX, No. 3). Article X imposes on each Party the duty of taking steps to bring its existing commercial treaties into harmony with the new régime.

Certainly these provisions do not appear to subordinate Austria as one of the contracting States to the control of her partner in a way which could be said to imperil her independence.

There is, however, in Article IX, No. 2, a provision which obliges each of the States, if commercial treaties are negotiated separately, to "see that the interests of the other contracting Party are not violated in contravention of the tenor and purpose of the treaty to be concluded". It has been suggested in the arguments that this provision would so restrict Austria's liberty to conclude whatever treaties might be most conducive to her own benefit as to be inconsistent with the preservation of her economic independence.

The undersigned are not prepared to admit that a provision requiring a State to bear in mind the interests of another State to the extent prescribed by Article IX (2), can be said to imperil the existence of that State or to be calculated to threaten its independence. Any such idea would be directly opposed to the modern movement in favour of increased recognition of the interdependence of States in economic matters. It may be well to mention in this connection that one of the objects of the proposed commercial convention which was signed at Geneva on March 24th, 1930, and of which Austria was a signatory, followed the same principle when it endeavoured to avoid any serious injury by one of the High Contracting Parties to the economic interest of another. It has been so understood by some of the States concerned, as for instance in the Regional Agreement signed at Oslo on December 22nd, 1930.

Article XI provides for the institution of an arbitral committee organized on the basis of parity. This committee is to settle differences of opinion as to the interpretation and application of the proposed treaty, and also to bring about a compromise in cases where agreement is necessary between the two Parties. The undersigned do not consider that any arrangement which provides for the friendly settlement of differences which may arise between two States, whether those differences are justiciable or not, can in these days be said to be calculated to threaten the independence of either of the States concerned.

Article XII gives each State the right to denounce the proposed treaty. If it could be held that the mere establishment of the régime proposed in the Vienna Protocol involved Austria in the loss of her independence, the power to denounce the treaty would be of no importance, for Austria would already have lost what she had undertaken to preserve. This is not, however, the case. The Opinion of the Court is that the establishment of the régime is calculated to threaten that independence, i.e. it is only because of the consequences of the establishment of the proposed régime that it is relied on as being incompatible with Austria's obligations. In this case the right to denounce the treaty is of importance, because it enables Austria to ward off those consequences. Should she find that her independence is imperilled by entering the customs union, she can always avoid that danger by denouncing the treaty.

This examination of the various provisions of the Vienna Protocol leads the undersigned to the conclusion that none of its provisions, when considered individually, are inconsistent with the maintenance of Austria's position as a separate and independent State.

The numerous restrictions on Austria's liberty of action resulting from the Treaty of Saint-Germain are well known: so are those imposed in 1922 by Protocols Nos. II and III at the time of the Austrian Reconstruction scheme. They affected Austria in matters military, financial or economic, which touch most closely on the national sovereignty. None of them were reciprocal in character. Yet they were all regarded as compatible with Austria's sovereignty and independence. *A fortiori* it seems to follow that a customs régime, such as that proposed in the Vienna Protocol, organized on a basis of parity and reciprocity, does not prejudice the independence of Austria.

For these reasons, the undersigned are of the opinion that a régime established between Germany and Austria on the basis and within the limits of the principles laid down by the Protocol of March 19th, 1931, would be compatible both

with Article 88 of the Treaty of Saint-Germain and with Protocol No. I signed at Geneva on October 4th, 1922.

(Signed) M. ADATCI.

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